

stockholder benefits enormously from retained earnings the benefits accrue in quite different proportions to different types of stockholders within the same company, thereby confusing investor thinking even more. In other words, each time earnings are not passed out as dividends, such action must be examined on its own merit to see exactly what is actually happening. It might pay to look a little below the surface here and discuss some of these differences in detail.

When do stockholders get no benefit from retained earnings? One way is when managements pile up cash and liquid assets far beyond any present or prospective needs of the business. The management might have no nefarious motive in doing this. Some executives get a sense of confidence and security from steadily piling up unneeded liquid reserves. They don't seem to realize they are buttressing their own feelings of security by not turning over to the stockholder wealth which he should be entitled to use in his own way and as he sees fit. Today there are tax laws which tend to curb this evil so that while it still occurs, it is no longer the factor which it once was.

There is another and more serious way in which earnings are frequently retained in the business without any significant benefit to stockholders. This occurs when substandard managements can get only a subnormal return on the capital already in the business, yet use the retained earnings merely to enlarge the inefficient operation rather than to make it better. What normally happens is that the management having in time built up a larger inefficient domain over which to rule usually succeeds in justifying bigger salaries for itself on the grounds that it is doing a bigger job. The stockholders end up with little or no profit.

Neither of these situations is likely to affect the investor who follows the concept discussed in this book. He is buying stocks because they are outstanding and not just because they are cheap. Managements with inefficient and substandard operations would fail to qualify under our fifteen points. Meanwhile, managements of the type that do qualify would almost certainly be finding uses for surplus cash and not just piling it up!

How can it happen that earnings retained in the business can be vitally needed yet have no possibility of increasing the value of the stockholder shares? This can occur in one of two ways. One way is when a change in